

FUTUREPROOF FINANCIAL

Tax Discussion

United States — Equity Preservation Mortgage

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Stakeholder Tax Treatment & Regulatory Framework

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1. Executive Summary

This document provides a comprehensive discussion of the tax treatment of the Equity Preservation Mortgage (EPM) product across all key stakeholders in **United States**. The EPM is a structured mortgage product that provides homeowners with a guaranteed monthly income stream funded by a combination of mortgage drawdowns and a structured investment portfolio (approximately 70% S&P 500 ETFs, 30% fixed income).

The core tax principle underpinning the EPM is that **mortgage drawdowns are not income**. The homeowner receives monthly payments that are structured as loan proceeds, not assessable income. This is a well-established principle in United States tax law. The investment portfolio is managed separately, with returns flowing through the payments waterfall to service the mortgage and protect homeowner equity.

This report covers the tax position of five stakeholder groups: (1) the Homeowner, (2) the Lender, (3) the Wholesale Funder, (4) the Investment Provider, and (5) the Broker / Referral Partner. For each stakeholder, we discuss the relevant tax treatment, reporting obligations, regulatory requirements, and key considerations.

Key Facts

Jurisdiction	United States
Currency	USD (\$)
Primary Regulator	Consumer Financial Protection Bureau (CFPB)
Conduct Regulator	State banking/lending regulators (varies by state)
Tax Authority	Internal Revenue Service (IRS)
Company Tax Rate	21% federal. State corporate tax 0%–11.5% (varies by state). Combined effective rate typically 25%–30%.
Sales Tax	No federal sales tax; state varies 0%–10.25%

2. Regulatory Framework

The EPM operates within the regulatory framework of United States. Prudential supervision is provided by **Consumer Financial Protection Bureau (CFPB)**, while conduct regulation falls under **State banking/lending regulators (varies by state)**. The tax administration is overseen by **Internal Revenue Service (IRS)**.

Prudential Regulator	Consumer Financial Protection Bureau (CFPB)
Conduct Regulator	State banking/lending regulators (varies by state)
Tax Authority	Internal Revenue Service (IRS)
Financial Services Licensing	State-by-state mortgage licensing (NMLS). SAFE Act registration for mortgage loan originators. SEC/FINRA for investment management. Dodd-Frank Wall Street Reform Act requirements.

3. Tax Environment Overview

This section provides an overview of the United States tax environment relevant to the EPM product structure and its stakeholders.

Personal Income Tax	Federal: 10% ($\leq \$11,600$), 12% ($\$11,601 - \$47,150$), 22% ($\$47,151 - \$100,525$), 24% ($\$100,526 - \$191,950$), 32% ($\$191,951 - \$243,725$), 35% ($\$243,726 - \$609,350$), 37% ($> \$609,350$). Plus state income tax (0%–13.3%).
Company Tax	21% federal. State corporate tax 0%–11.5% (varies by state). Combined effective rate typically 25%–30%.
Capital Gains Tax	Long-term (> 1 year): 0%/15%/20% based on income. Net Investment Income Tax (NIIT) 3.8% surcharge on higher earners. Short-term: taxed as ordinary income.
Sales Tax	No federal sales tax; state varies 0%–10.25%
Withholding Tax	30% WHT on FDAP income (interest, dividends) paid to non-US persons (reduced by DTA to 0%–15%). FATCA 30% WHT on non-compliant foreign financial institutions.
Stamp Duty / Transfer Tax	No federal stamp duty. State/county transfer taxes vary (e.g., NY: 0.4%–1.4%, CA: \$1.10 per \$1,000). Recording fees also apply.
Mortgage Interest Deductibility	Mortgage interest on primary residence: deductible up to \$750,000 of mortgage debt (itemized deduction on Schedule A). Home equity loan interest: deductible only if proceeds used to buy, build, or improve the home. Investment property: interest fully deductible against rental income.
Imputation / Franking	No imputation/franking system. Qualified dividends taxed at LTCG rates (0%/15%/20%). Non-qualified dividends taxed as ordinary income.
Reporting Obligations	Individual: Form 1040 (15 April). Corporate: Form 1120 (15 April or 15 October extended). 1098 (mortgage interest paid). 1099-INT (interest income). FBAR and FATCA reporting for foreign financial accounts.

Structural Tax Provisions

Fund / Trust Regime	Regulated Investment Company (RIC) under IRC Subchapter M — pass-through taxation if 90% of income distributed. Real Estate Mortgage Investment Conduit (REMIC) for mortgage-backed securities.
Thin Capitalisation	Section 163(j) Business Interest Limitation: net business interest deduction limited to 30% of adjusted taxable income. Excess carried forward indefinitely.
Transfer Pricing	IRC Section 482 — arm's length standard. Country-by-country reporting (Form 8975 for >\$850m revenue). Advance Pricing Agreements (APAs) available.
Anti-Avoidance	Economic substance doctrine (IRC §7701(o)). BEAT (Base Erosion and Anti-Abuse Tax) for large taxpayers. GILTI (Global Intangible Low-Taxed Income) for CFC owners.

Retirement / Pension System Implications

EPM annuity income is NOT retirement plan income. Does not affect IRA/401(k) contribution limits or RMDs. Social Security: EPM proceeds are not "earned income" and do not affect benefits. Medicare: EPM proceeds may affect IRMAA (Income-Related Monthly Adjustment Amount) if counted as income — but mortgage drawdowns are generally NOT counted.

4. Homeowner Tax Treatment

The homeowner is the primary beneficiary of the EPM structure. They receive guaranteed monthly income while retaining full ownership of their property. The fundamental tax principle is that mortgage drawdowns are NOT assessable income in United States.

- EPM annuity payments are mortgage proceeds — NOT gross income under IRC §61
- No federal income tax on EPM distributions (loan proceeds are not income)
- Property remains in homeowner's name — no sale or exchange for CGT purposes
- IRC §121 exclusion (\$250k/\$500k) continues to apply to principal residence
- Mortgage interest may be deductible on Schedule A (itemized) up to \$750,000 limit under TCJA
- Property taxes remain deductible (subject to \$10,000 SALT cap)
- No transfer tax triggered (no property transfer occurs)
- Estate tax: property included in gross estate (IRC §2031), but mortgage is deductible liability (IRC §2053)
- Social Security: EPM proceeds are not "wages" and do not affect SS benefits or earnings test

5. Lender Tax Treatment

The lender originates and manages the EPM mortgage. Interest income on the mortgage is the primary revenue stream. The lender must comply with United States financial services licensing requirements and tax reporting obligations.

- Interest income is ordinary income under IRC §61(a)(4)
- Origination fees and points: income recognition per IRC §451 and OID rules (IRC §1272)
- Bad debt deduction under IRC §166 (specific charge-off method for banks)
- Reserve for loan losses: IRC §585 (small banks) or §586 (mutual savings banks)
- CECL (Current Expected Credit Losses) under ASC 326 — IRS Rev. Proc. 2019-35 transition
- Section 163(j): net business interest deduction limited to 30% of ATI
- State-by-state mortgage licensing under SAFE Act (NMLS registration)
- Form 1098 reporting: must report mortgage interest received from borrowers

6. Wholesale Funder Tax Treatment

Wholesale funders provide the capital that backs the EPM lending programme. They earn returns through the funding margin (the spread between their cost of funds and the rate charged to the lender). Cross-border tax considerations are particularly relevant for this stakeholder group.

- Interest income is ordinary income (or effectively connected income for US business)
- If non-US person: 30% WHT on interest (reduced under DTA — often 0%–15%)
- FATCA: 30% WHT on payments to non-compliant foreign financial institutions
- Section 163(j): 30% of ATI cap on net interest deductions
- Transfer pricing: IRC §482 arm's length requirement
- REMIC structure available for mortgage-backed securitisation (IRC §860A-G)
- BEAT: Base Erosion and Anti-Abuse Tax (10% minimum on large taxpayers with base-eroding payments)
- GILTI: CFC shareholders must include GILTI in income (IRC §951A)

7. Investment Provider Tax Treatment

The investment provider manages the structured investment portfolio that underpins the EPM. The portfolio targets approximately 70% allocation to S&P 500 ETFs and 30% to fixed income instruments. Returns from this portfolio flow through the payments waterfall to service mortgage interest and protect homeowner equity.

- Portfolio: ~70% S&P; 500 ETFs, ~30% fixed income
- Regulated Investment Company (RIC) under Subchapter M: pass-through taxation if 90% of income distributed
- Qualified dividend income from US equities: 0%/15%/20% rates at investor level
- Interest income from fixed income: taxed as ordinary income to investors
- Capital gain distributions: long-term rates if fund held securities >1 year
- ETF structure: creation/redemption mechanism minimises capital gains distributions
- NIIT: 3.8% surtax on net investment income for individuals earning >\$200k/\$250k
- Form 1099-DIV reporting to investors on dividends and capital gains distributions

8. Broker / Referral Partner Tax Treatment

Brokers and referral partners earn commission income for originating EPM mortgages. They must be appropriately licensed and comply with United States regulatory requirements for mortgage advice and intermediation.

- Commission income is ordinary income (self-employment or W-2)
- Self-employment tax: 15.3% (12.4% Social Security + 2.9% Medicare) on SE income
- Trail commissions: recognised as income when received or constructively received
- NMLS registration and state-specific mortgage broker licensing required
- SAFE Act compliance: mortgage loan originator registration
- Dodd-Frank: compliance with ability-to-repay (ATR) and qualified mortgage (QM) rules
- Professional liability insurance costs deductible (Schedule C or as business expense)
- Clawback: adjustment to income in the period commission is returned

9. Cross-Border Considerations

The EPM structure may involve cross-border elements, particularly where wholesale funding or investment management is provided by entities outside United States. Key cross-border tax considerations include:

- Withholding tax on interest payments to non-resident wholesale funders: 30% WHT on FDAP income (interest, dividends) paid to non-US persons (reduced by DTA to 0%–15%). FATCA 30% WHT on non-compliant foreign financial institutions.
- Double Tax Agreement (DTA) network — treaty relief may reduce or eliminate WHT
- Transfer pricing documentation requirements for related-party cross-border transactions
- Thin capitalisation rules limiting interest deductions: Section 163(j) Business Interest Limitation: net business interest deduction limited to 30% of adjusted taxable income. Excess carried forward indefinitely.
- Permanent establishment (PE) risk — structuring to avoid inadvertent PE creation
- BEPS (Base Erosion and Profit Shifting) compliance — CbCR, transfer pricing, anti-hybrid rules
- Controlled Foreign Corporation (CFC) rules — may apply to offshore subsidiaries
- Foreign tax credit / offset mechanisms to prevent double taxation

10. Anti-Avoidance & Compliance

The EPM structure is designed to operate within the ordinary commercial framework of United States tax law. It does not rely on any aggressive tax planning, artificial arrangements, or tax avoidance strategies. The structure is transparent, documented, and commercially motivated.

Nevertheless, all participants should be aware of the anti-avoidance framework:

- General anti-avoidance rule: Economic substance doctrine (IRC §7701(o)). BEAT (Base Erosion and Anti-Abuse Tax) for large taxpayers. GILTI (Global Intangible Low-Taxed Income) for CFC owners.
- Transfer pricing: IRC Section 482 — arm's length standard. Country-by-country reporting (Form 8975 for >\$850m revenue). Advance Pricing Agreements (APAs) available.
- Substance requirements — all entities must have genuine economic substance in their jurisdiction
- Commercial rationale — all arrangements must have a bona fide commercial purpose beyond tax
- Reporting: Individual: Form 1040 (15 April). Corporate: Form 1120 (15 April or 15 October extended). 1098 (mortgage interest paid). 1099-INT (interest income). FBAR and FATCA reporting for foreign financial accounts.
- Penalties: significant penalties apply for non-compliance, including promoter penalties for tax schemes

11. Disclaimer

This document has been prepared by Futureproof Financial Group Limited for general information and discussion purposes only. It does not constitute tax advice, legal advice, financial advice, or any other form of professional advice.

Tax treatment depends on the individual circumstances of each stakeholder and may be subject to change in future. Tax law is complex and subject to interpretation by courts and tax authorities. The information in this document reflects the law as understood at the date of publication (March 2025) and may not reflect subsequent changes.

All stakeholders are strongly advised to seek independent professional tax advice specific to their individual circumstances before making any decisions based on the information contained in this document.

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